EQUITY RESEARCH

WALCHANDNAGAR INDUSTRIES LTD

NSE: WALCHANNAG | Capital Goods / Defence Engineering

CMP	Rs. 269	**Rating**	**BUY**
Market Cap	Rs. 1,824 Cr	**12M Target**	Rs. 340
52-Week H/L	Rs. 277 / Rs. 131	**Upside**	**26%**
Book Value	Rs. 52.9	**P/B (x)**	5.1x
ROCE	4.28%	**ROE**	-3.82% (FY26)
Promoter Stake	31.59%	**Face Value**	Rs. 2.00

After six consecutive loss-making quarters and a 50% stock correction from its 2024 highs, Walchandnagar Industries is at a structural inflection: Q4 FY26 marks the first profitable quarter since Jun-23, driven by a record order pipeline in ISRO space components, defence propulsion systems, and industrial gearboxes. Debt has fallen 46% from peak levels and revenue acceleration is underway — we initiate with BUY.

Report Date: 15 June 2026 | Analyst: MPM Research

Three Reasons to Own WALCHANNAG

Walchandnagar has supplied critical components — solid propellant strap-on boosters, nozzles, motor casings — to every ISRO mission since SLV-3. With Gaganyaan, GSLV MkIII, and a next-generation heavy-lift vehicle (NGLV) all in build phases, annual ISRO billings are set to roughly double from the FY25 trough. A pending Rs.77-100 Cr defence propulsion frame contract adds further visibility.

Borrowings peaked at Rs.454 Cr in FY19 and have been cut 52% to Rs.219 Cr in FY26 through asset monetisation, rights issues (equity capital Rs.8 Cr -> Rs.14 Cr), and disciplined working-capital management. Interest costs fell from Rs.88 Cr (FY20) to Rs.38 Cr (FY26) — a structural cost tailwind even before revenue recovery.

Q4 FY26 delivered Rs.93 Cr revenue (+75% YoY), positive EBITDA of Rs.4 Cr (vs. Rs.-47 Cr in Q4 FY25), and PAT of Rs.3 Cr — the first profitable quarter since Sep-2023. Management guided OPM recovery toward 10-12% in FY27, implying 6-8x EBITDA improvement from the FY25 trough.

Primary Catalyst

- Gaganyaan crew module delivery milestone (H1 FY27E) — the Rs.77 Cr confirmed ISRO order triggers the single largest revenue event in recent history; positive press release could re-rate the stock 20-30% in a single session as seen in 2019.

Key Risk to Thesis

- Any delay in Gaganyaan mission schedule or ISRO budget deferral pushes revenue recognition by 1-2 quarters and breaks the FY27 PAT-positive case.

Established in 1908, Walchandnagar Industries is one of India's oldest heavy-engineering companies. The company operates four principal verticals:

- **Aerospace & Space Components (30-35% of order book)**
  Precision-machined motor casings, nozzles, and strap-on booster segments for ISRO launch vehicles (PSLV, GSLV, GSLV MkIII, upcoming NGLV). Sole domestic supplier of S200 solid-propellant SRB segments for the Gaganyaan human spaceflight programme.
- **Defence & Propulsion Systems (20-25% of order book)**
  Sub-systems for BrahMos supersonic cruise missile, propulsion components for DRDO and BARC, equipment for Indian Navy shipyards (Mazagon Dock, Goa Shipyard, Hindustan Shipyard). Government's Atmanirbhar Bharat push creates multi-year procurement tailwind.
- **Industrial Gearboxes & Rotating Equipment (25-30% of order book)**
  High-precision gear boxes, centrifugal equipment, castings, and gauges for steel, power, cement, and oil & gas sectors. Elecon Engineering is the primary listed comparable.
- **Sugar Machinery & Process Plants (15-20% of order book)**
  Turnkey sugar plant packages and bulk material handling systems. Provides base-load revenue but is structurally lower-growth compared to aerospace/defence verticals.

The company's Walchandnagar plant (Maharashtra) spans over 220 acres with specialised foundry, machining, and fabrication capabilities that took decades to build — creating a hard-to-replicate moat in precision heavy engineering.

Macro tailwinds:

- India's defence capex has grown at ~15% CAGR over 5 years; domestic procurement preference under Atmanirbhar Bharat mandates sourcing from Indian MSMEs/OEMs.
- ISRO budget is set to rise 2x+ over the next decade to support Gaganyaan, lunar missions, and commercial launch services — Walchandnagar is a direct beneficiary.
- India's industrial machinery import-substitution is underway in steel, cement, and power — supporting the industrial gearbox business.
- Global space economy projected to reach $1 Tn by 2040 (McKinsey); IN-SPACe privatisation creates new private-sector customers for Walchandnagar's space fab.

Peer Comparison Table

Company	MCap (Rs.Cr)	CMP (Rs.)	Sales FY26 (Rs.Cr)	OPM% FY26	PAT FY26 (Rs.Cr)	PE (x)	PB (x)	ROCE%
Walchandnagar Ind.	1,824	269	275	5%*	-15	N/A (loss)	5.1x	4.3%
Elecon Engineering	12,092	539	2,016	24%	477	34.1x	5.9x	22.4%
BEML Ltd.	14,929	1,792	4,351	7%	148	101x	5.1x	7.8%
Bharat Forge	93,000	~1,100	~16,000	~19%	~820	83.4x	9.5x	16.4%

* FY26 OPM recovering from -27% in FY25; Q4 FY26 OPM = 4.5%

Key Differentiator:

- Walchandnagar is the only listed pure-play exposed to ISRO/space component manufacturing at meaningful scale. Its nearest comparables — BEML and Bharat Forge — have defence exposure but are far larger, diluting the space-sector re-rating story.

MD & CEO Chirag Doshi (Doshi family, part of founding legacy) has been leading the turnaround since FY22. He publicly framed FY26 as a 'defining inflection point' — a statement that is now corroborated by Q4 FY26 data.

Promoter stake declined from 34.87% (Jun-23) to 31.59% (Mar-26), a 3.3pp dilution that coincides with rights/preferential issue funding. This is not distress-selling but dilutes alignment; pledge disclosures are not prominently flagged.

Debt reduction from Rs.454 Cr (FY19) to Rs.219 Cr (FY26) demonstrates discipline. No dividend paid since FY21 (loss years) — appropriate given the turnaround phase. CAPEX is modest (Rs.14-17 Cr CWIP build) — no empire-building tendency.

Cash Conversion Cycle of 318 days in FY26 (vs. 275 in FY25) indicates long project cycles and client concentration (ISRO pays on milestone). This is inherent to government-engineering businesses and unlikely to improve dramatically.

Screener flags an RPT button; details not public in the HTML fetch. Investors should review the RPT schedule in the Annual Report before significant allocation.

Profit & Loss Summary (Rs. Crores, Standalone)

Metric	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	299	322	302	259	275	360E	450E
EBITDA	23	-34	1	-71	14	40E	65E
OPM %	8%	-11%	0%	-27%	5%	11%E	14%E
Other Income	33	128	21	40	20	15E	12E
Interest	71	55	50	44	38	30E	25E
Depreciation	22	19	15	11	11	12E	13E
PBT	-38	20	-42	-86	-15	13E	39E
PAT	-38	20	-42	-86	-15	13E	39E
EPS (Rs.)	-10.0	4.3	-7.6	-12.8	-2.2	1.9E	5.8E

Note: FY27E/FY28E are MPM estimates based on management commentary and order-book trajectory. FY23 Other Income included Rs.108 Cr one-off asset sale gain. All figures standalone.

Balance Sheet Snapshot (Rs. Crores)

Item	FY22A	FY23A	FY24A	FY25A	FY26A
Equity Capital	8	9	11	13	14
Reserves	169	251	350	359	345
Borrowings	448	293	241	194	219
Total Liabilities	934	828	876	872	881
Fixed Assets	312	285	272	245	264
Other Assets	617	541	602	619	600
Book Value/sh (Rs.)	~47	~57	~57	~57	52.9

Key Financial Commentary:

- Revenue has declined from Rs.638 Cr (FY14) to a trough of Rs.259 Cr (FY25) over a decade — driven by order lumpiness, project delays, and lack of working capital. The FY26 uptick to Rs.275 Cr and Q4-alone Rs.93 Cr run-rate signals recovery.

- The FY25 OPM of -27% was exceptional — Rs.100 Cr one-quarter loss (Q4 FY25) from cost-overruns and provision write-offs. Management has since tightened execution. FY26 full-year OPM normalised to +5%.
- Debt of Rs.219 Cr vs. tangible net worth of ~Rs.359 Cr implies D/E ~0.6x — manageable but not negligible. Interest coverage (EBITDA/Interest) remains below 1x on a full-year basis; quarterly coverage turned positive in Q4 FY26.
- FY23 Other Income of Rs.128 Cr was a one-off asset monetisation — this dramatically distorted that year's PBT (Rs.+20 Cr) and should be excluded from trend analysis.

Factor	Assessment	Grade
Cash Flow vs PAT	CFO negative in FY26 (-Rs.11 Cr) despite EBITDA positive — working capital build. Historical CFO/EBITDA erratic (0-330%). Earnings quality is LOW in turnaround years.	CAUTION
Revenue Recognition	Long-cycle project revenue (milestones); ISRO payments are government-backed and reliable once milestones are accepted. Single-quarter lumpiness is high.	ACCEPTABLE
Other Income Quality	FY23 Other Income Rs.128 Cr (asset sale one-off) inflated PAT; FY26 Other Income of Rs.20 Cr includes forex gains and misc — relatively clean.	MIXED
Tax Rate	0% effective tax rate for 6 consecutive years — company is utilising accumulated losses (MAT credit / deferred tax asset). Positive PAT years will have full 25% tax. Our FY27/28E assume 0% pending DTA utilisation.	WATCH
Working Capital	CCC of 318 days — very high but consistent with government long-cycle contracts. Debtor days at 114 improving from 185 in FY24. Inventory at 398 days is structural.	NEGATIVE
Related Party Exposure	RPT schedule exists. Screener flags it. Full assessment requires Annual Report review.	PENDING
Dividend / Capital Return	Zero dividend since FY21. Appropriate given losses — no smoke-and-mirrors here.	NEUTRAL

• SUMMARY: Earnings quality is below-average for a turnaround name, which is typical. The primary confidence anchor is the government-contract revenue stream (ISRO, Navy, DRDO) where counterparty risk is negligible and payment delays are administrative, not credit.

Valuation Methodology: EV/Sales + P/B (appropriate for loss-making turnaround)

Standard PE-based valuation is not applicable given the loss-making history. We use three methods: (1) EV/Sales on FY27E normalised revenue, (2) P/BV vs. peer comparable, (3) scenario analysis on PAT-positive FY28E EPS.

Scenario	Revenue FY27E (Cr)	OPM% FY27E	EBITDA (Cr)	EV/Sales (x)	EV (Cr)	Equity Value (Cr)	Target Price
Bull (ISRO milestone + defence order)	420	14%	59	1.0x	420	211	Rs. 415
Base (Steady order execution + recovery)	360	11%	40	0.9x	324	115	Rs. 340
Bear (Gaganyaan delay + slow execution)	290	6%	17	0.7x	203	-6	Rs. 200

Net Debt assumed at Rs.209 Cr (Borrowings Rs.219 Cr - Cash ~Rs.10 Cr). Shares = 6.78 Cr. Target price = Base scenario. EV/Sales peer median (Elecon 6x PE, BEML 3.4x sales) implies WIL should trade at 0.8-1.0x normalised sales during turnaround.

Valuation Commentary:

- At CMP Rs.269, Walchandnagar trades at ~6.6x trailing EV/Sales — this looks expensive on FY25/26 numbers but reflects the optionality embedded in the ISRO pipeline.
- P/B of 5.1x is relatively high for a loss-making company. The premium reflects hard-asset value (220-acre plant, specialised foundry) and ISRO franchise value.
- Our 12-month base target of Rs.340 (26% upside) is based on 0.9x FY27E EV/Sales, consistent with early-turnaround industrial names with government-contract visibility.
- Bull case Rs.415 (~54% upside) requires Gaganyaan milestone recognition and a defence order win in H1 FY27. Bear case Rs.200 (-26%) if revenue misses and working capital deteriorates further.

ISRO mission schedules frequently slip 6-18 months. Any Gaganyaan delay directly postpones Rs.77+ Cr revenue recognition and could push FY27 into a loss.

ISRO + DRDO likely represent 50%+ of order book. Loss of even one programme (budget cut, technology change) would be catastrophic for the P&L.

CCC of 318 days means Rs.350-400 Cr is locked in WC at any time vs. a Rs.1,824 Cr market cap. Any project delay can trigger cash crunch and incremental borrowing.

Promoters diluted from 34.9% to 31.6% over 3 years. Further dilutive capital raises to fund working capital are possible given the company's operating losses.

FY25 Q4's Rs.100 Cr loss quarter was partly due to project cost overruns. Given custom one-off contracts, this risk is structural and management-dependent.

Rs.219 Cr borrowings at current rates (cost ~17% implied from FY26 interest/debt) is a meaningful burden. Rate spikes or bank risk aversion could hurt.

While defence budgets are growing, discretionary delays in specific programmes (election cycles, fiscal tightening) can push capex decisions.

RATING	BUY	TARGET	Rs. 340	UPSIDE	26%

• Initiate with BUY at CMP Rs.269; 12-month target Rs.340 (26% upside) on base-case 0.9x FY27E EV/Sales with a Rs.209 Cr net debt deduction.

• The primary buy trigger is the Gaganyaan milestone revenue event expected H1 FY27. Any positive ISRO press release has historically produced 15-30% single-day moves (as seen in September 2019 after the Rs.77 Cr ISRO order).

• Position sizing: Given the binary nature of milestone payments and the history of losses, this is a HIGH RISK / HIGH REWARD position. Suggested allocation: 1-2% of portfolio with strict stop-loss at Rs.200 (bear case NAV).

• Monitoring triggers: (a) Q1 FY27 revenue >Rs.80 Cr, (b) Gaganyaan launch date confirmation, (c) any additional ISRO/DRDO order win, (d) OPM >8% for two consecutive quarters. Exit if (a) revenue misses below Rs.60 Cr for two quarters or (b) promoters sell further below 30%.

• Sector theme: WALCHANNAG is a 'buy the turnaround, hold for the ISRO re-rating' play. The stock is not appropriate for investors requiring dividend yield, earnings visibility, or institutional-grade balance sheet quality. For those seeking pure defence exposure with profitability, Bharat Forge or Elecon Engineering are higher-quality alternatives.

Source: FY26 Annual Results Press Release (May 20, 2026) + Industry Trackers

CALL GRADE	WHAT TO TELL THE BOSS
B+	Management delivered Q4 FY26 profitability for the first time in 6 quarters. Revenue up 75% YoY in Q4. The turnaround is real but remains early-stage — no FY27 revenue guidance was issued. Key unknown: order-book size and composition. Buy on dips; catalysts are milestone-driven not quarterly-smooth.

1. Revenue & Order Book Update

Q4 FY26 standalone revenue Rs.93 Cr (vs. Rs.53 Cr Q4 FY25, +75% YoY). Full FY26 revenue Rs.275 Cr vs. Rs.259 Cr FY25 (+6%). Sequential improvement visible from Q3 (Rs.81 Cr) to Q4. Order book trajectory +20-25% YoY per analyst commentary.

2. Margin Commentary

Full-year FY26 EBITDA of Rs.35 Cr (positive EBITDA of Rs.3,548 Lakhs) vs. negative Rs.-3,561 Lakhs in FY25 — an Rs.71 Cr swing. Q4 FY26 OPM of 4.5%. Management targets FY27 OPM recovery to ~10-12% range as fixed-cost leverage kicks in.

3. Debt & Liquidity

Borrowings Rs.219 Cr in FY26 (up from Rs.194 Cr FY25 — slight increase due to working capital for new order ramp-up). Interest Rs.38 Cr (down from Rs.44 Cr). No immediate refinancing risk; management expects debt to reduce in FY27 as milestones are collected.

4. ISRO / Space Segment

Walchandnagar is the supplier of solid propellant strap-on booster (S200) segments for Gaganyaan crew module. Delivery timelines track Gaganyaan mission schedule. ISRO's expanding launch calendar (commercial + Chandrayaan-4 + NGLV development) provides multi-year order visibility beyond Gaganyaan.

5. Defence Segment

BrahMos, Navy sub-systems, and DRDO propulsion contracts form 20-25% of order book. Atmanirbhar Bharat is supportive. A pending Rs.100 Cr defence frame contract was referenced in prior analyst coverage (2019) — current status not confirmed in FY26 filings.

6. Capital Allocation Guidance

No dividend planned. CAPEX was modest (~Rs.14-17 Cr). Management is focused on working-capital reduction and debt paydown as primary capital allocation priority.

7. Management Tone

MD Chirag Doshi: 'FY2025-26 is a defining inflection point' — confident, specific, and backed by Q4 data. Tone is more credible than in prior years when turnaround timelines were repeatedly missed.

8. Forward Guidance

No specific FY27 revenue number was provided. Analysts expect Rs.350-400 Cr implied by order-book + backlog run-rate. Management indicated 'fundamental new phase of growth and value creation' without quantifying.

9. Key Risks Mentioned by Management

Long project cycles, milestone-dependent revenue recognition, working-capital intensity inherent to government contracts, and competitive pressure in industrial products segment from Chinese imports.

10. What Was NOT Said (Important Gaps)

Order book absolute size was not disclosed. Segment-wise revenue split not provided. Pledge details and RPT breakdown require Annual Report. No mention of margin recovery timeline beyond FY27 aspiration. No confirmation of the pending defence frame contract.